

OPPORTUNITY REVIEW

DIRECT-TO- EMPLOYER GTM STRATEGY

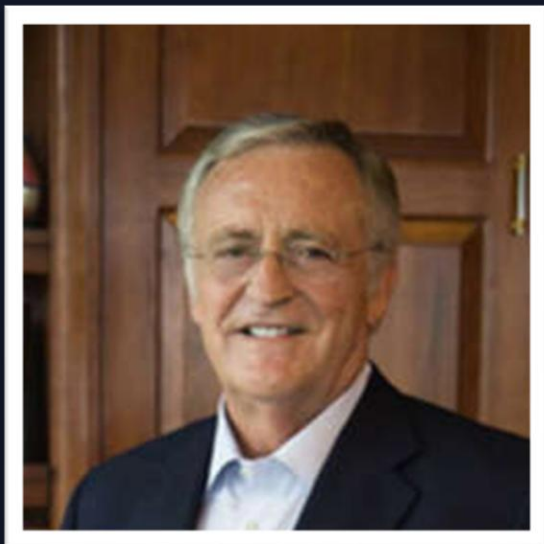
Exploring a Main Line Health DTE Health Plan





KEY BENEFIT ADMINISTRATORS

- Founded in 1979, headquartered in Indianapolis
- Largest Independently-Owned Full-Service Third-Party Administrator
- Specialize in Administration of Self-Funded Plans and Population Health Management
- Leader in the Direct-to-Employer Movement
- We Know and Understand the Market
- Experience Working with All Professional Teams: Agents, Networks, MGAs
- The Key Family of Companies is a Vertically Integrated group of benefit related organizations
 - 3,000+ Corporate Clients
 - 3 Million Members under Management
 - 700 Employees



Our Founding and Heritage:

46 Years of Striving for Honesty in Healthcare

Founded Key Benefit Administrators in 1979

After co-founding a life insurance agency in 1973 and Key Life Insurance in 1976, Larry Dust launched KBA in 1979 as a third-party benefits administrator focused on honest healthcare delivery.

Sold to Blue Cross/Blue Shield in 1985

Strategic partnership with BCBS of Indiana (then part of the Associated Group) provided capital and market access while maintaining operational independence.

Reacquired KBA in 1992

Larry bought the business back from BCBS in 1992, returning it to complete independence and patient-focused mission alignment.

Built the Largest Independent TPA in the U.S.

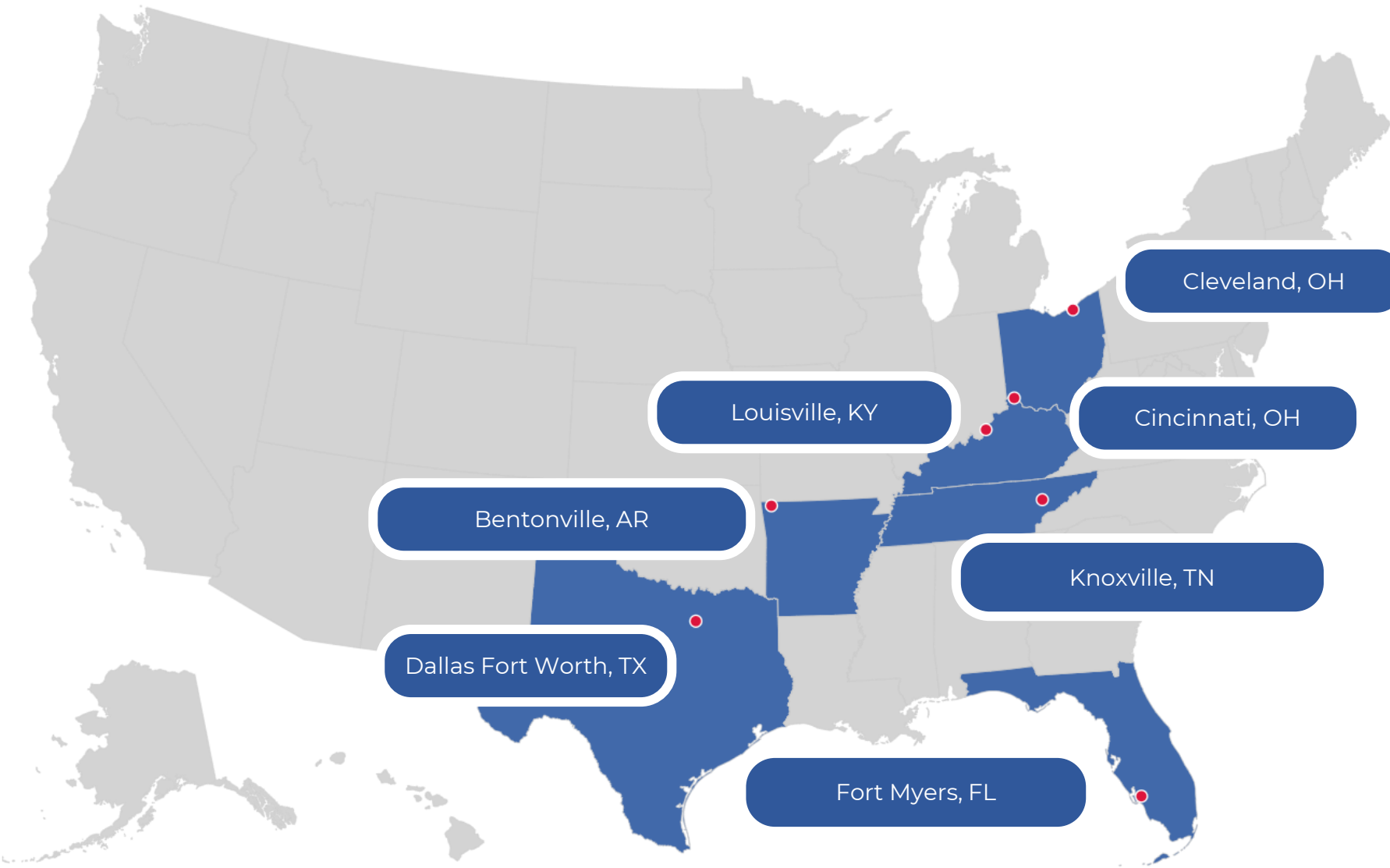
Under his leadership since the buyback, KBA has become the country's largest independently owned third-party administrator, managing millions of members across diverse markets.

Never Forgotten Who Gives Healthcare

KBA has never participated in reference-based pricing, does not take refunds, and delivers healthcare at 11% below market rates. Our commitment remains with providers and patients, not profit extraction.

Key Benefit Administrators

MARKET LEADER IN PRIVATE LABELED DTE PLANS





Main Line Health®

DIRECT-TO-EMPLOYER (DTE)

Your Health Plan
Focused on a Direct
Relationship with Self-
Funded Employers in
Your Market



YOU Pick the Name of the Health Plan



YOU Determine the Fees Charged



YOU Practice the Medicine



YOU Receive the Profits

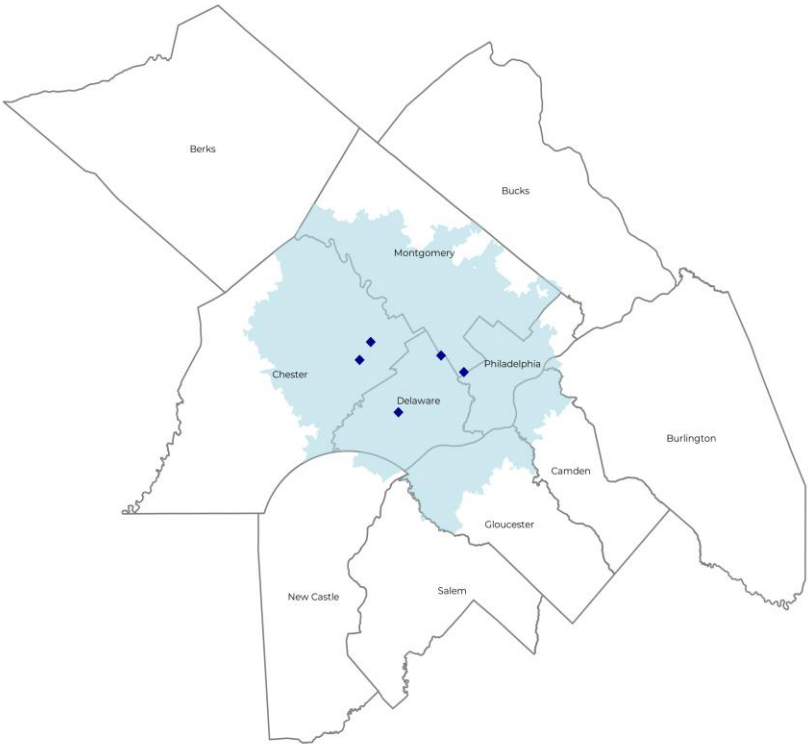


WE Make it Successful

SIGNIFICANT OPPORTUNITY FOR PLAN GROWTH

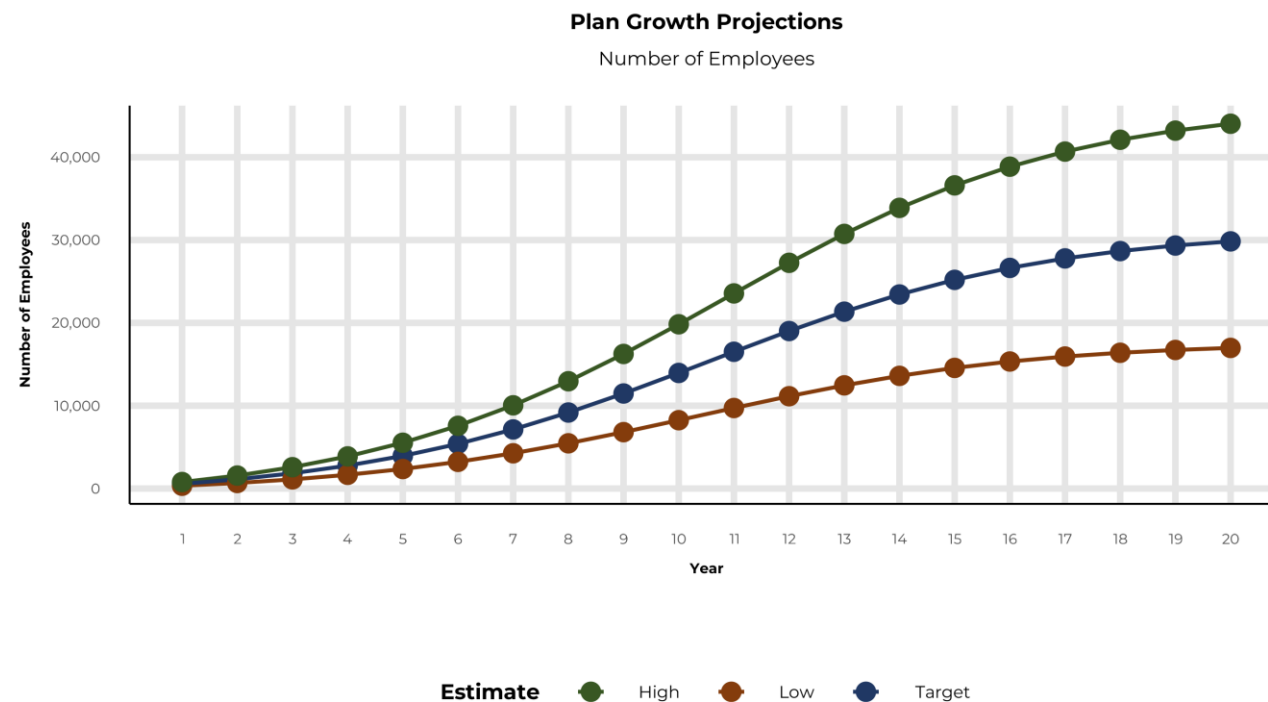
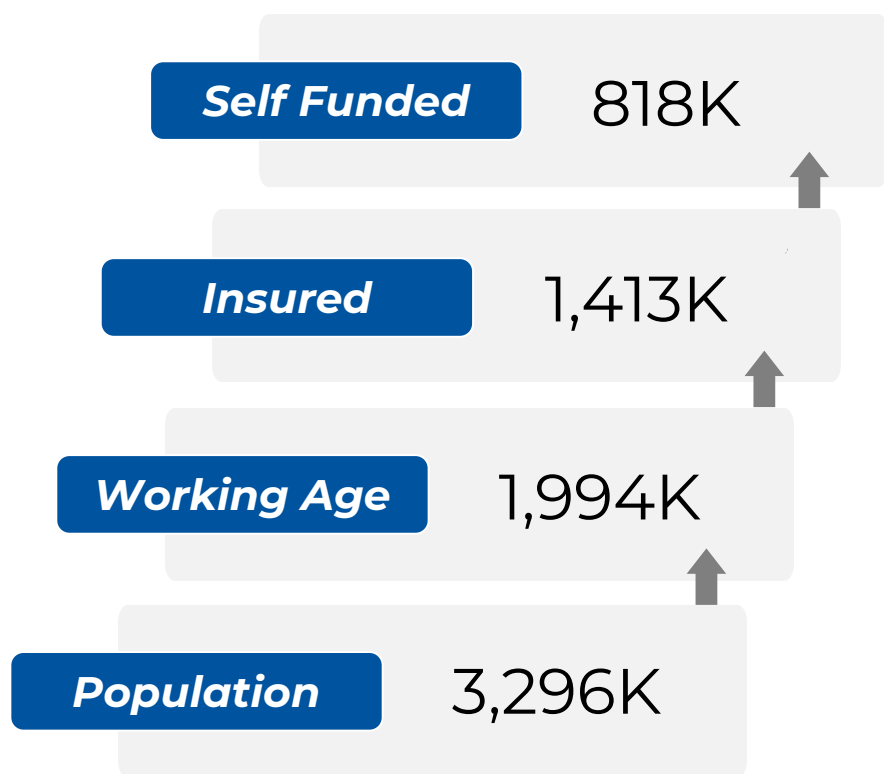
Researched for the below highlighted service area

5,000+ Employers ➤ **Target Market** 1.2M+ Employees ➤ 1.9M+ Members



	Employer Size Group (# of Employees)					
Commercial Employers With Headquarters In Catchment Area	50-100	101-200	201-400	401-1,000	1,001-3,000	3,000+
	2,652	1,114	737	448	167	129
Total Employees at Employers Headquartered in Catchment Area	50-100	101-200	201-400	401-1,000	1,001-3,000	3,000+
	198,900	167,100	221,100	313,600	334,000	774,000
Total Members with Employers Headquartered in Catchment Area	50-100	101-200	201-400	401-1,000	1,001-3,000	3,000+
	358,000	300,800	398,000	564,500	601,200	1,393,200

PLAN POTENTIAL GROWTH PATHS



Estimates includes the Main Line Health service area in New Castle, Burlington, Camden, Gloucester, Chester, Delaware, Montgomery, and Philadelphia Counties

GROWING POWERFUL, LASTING PROFITABILITY

Early Stage

Gaining Name Recognition, Early Growth

New Revenue: **\$20.4M** New Profit: **\$3.45M**

Growth Stage

Strong Reputation, Strong Growth

New Revenue: **\$119.59M** New Profit: **\$21.21M**

Mature Stage

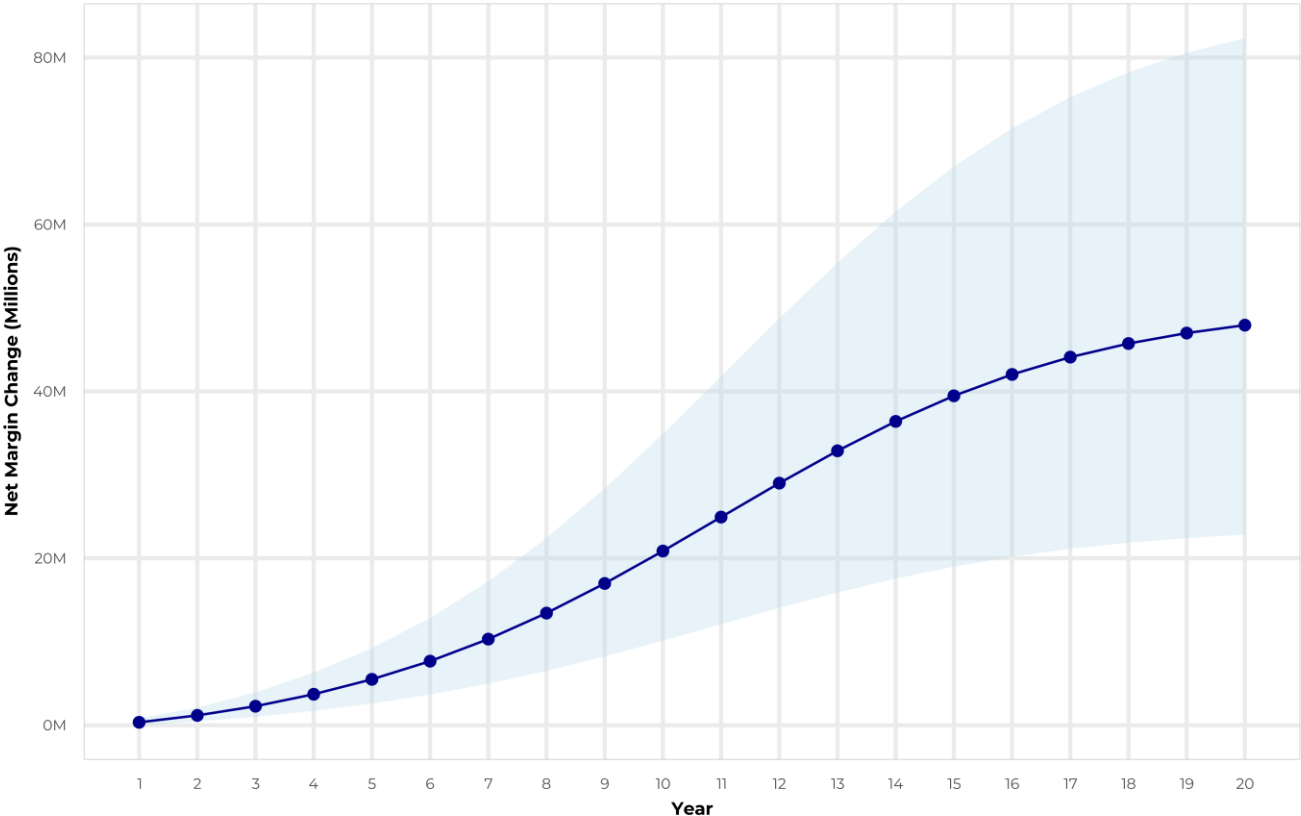
High Profitability, Market Saturation

New Revenue: **\$242.98M** New Profit: **\$43.24M**

Net Margin Change Over Years

Variation by Member Growth With Target Estimate Assuming

50%+ Within-Plan Steerage and a Commercial Margin of 17.6%

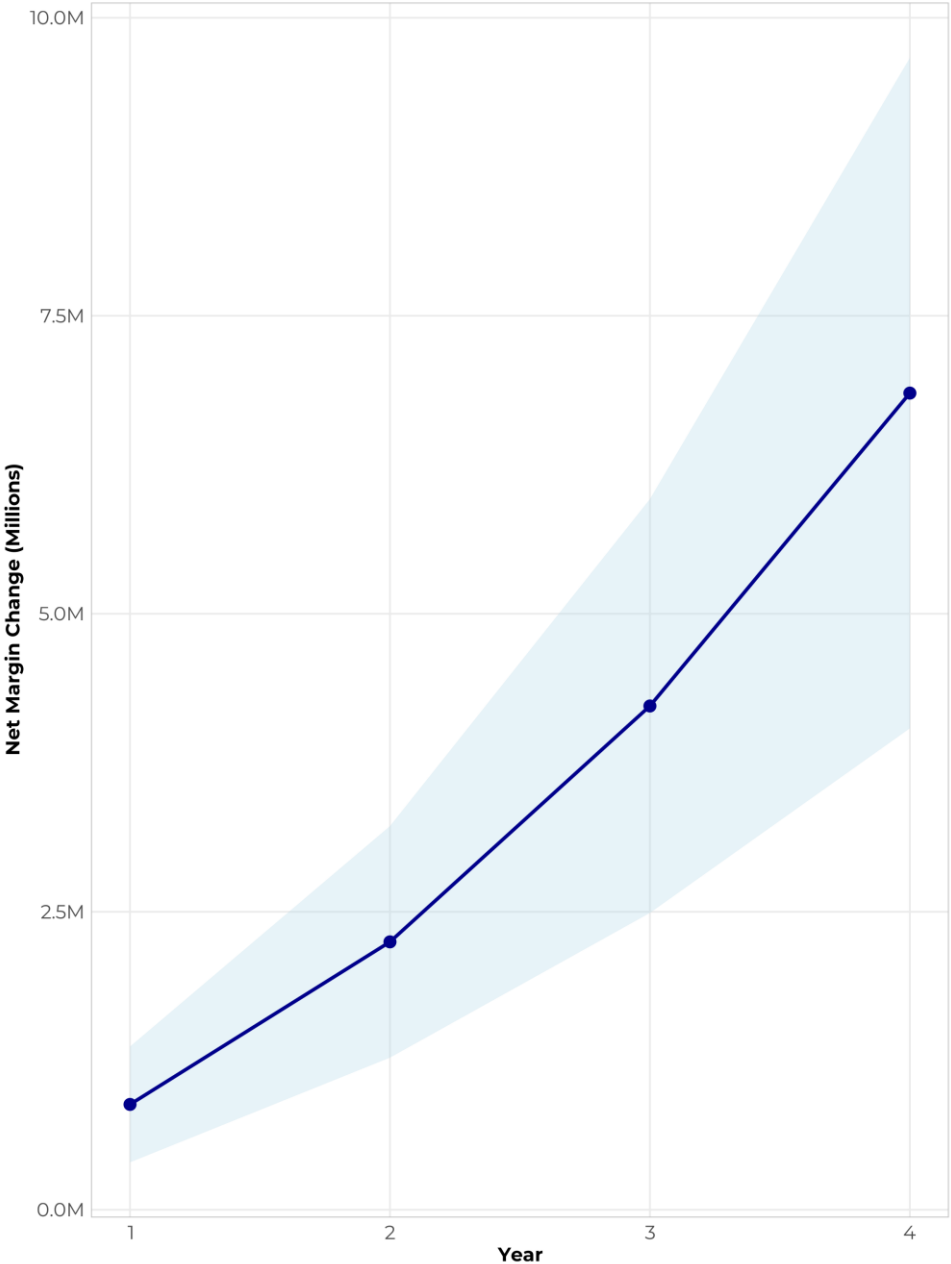


FOUR-YEAR PROJECTIONS

Net Margin Change Over Years

Variation by Member Growth With Target Estimate Assuming

50%+ Within-Plan Steerage and a Commercial Margin of 17.6%



Target Member Growth				
Metric	Year 1	Year 2	Year 3	Year 4
Number of Members	1,000	2,000	3,300	5,000
Incremental Margin	1,201.8K	2,403.5K	4,366.8K	6,971.3K
Network Access Fee	12.0K	24.0K	39.6K	60.0K
Implementation Fee (One-Time)	-150.0K	0.0K	0.0K	0.0K
Sales and Marketing Costs	-180.0K	-180.0K	-180.0K	-180.0K
Net Margin Change	883.8K	2,247.5K	4,226.4K	6,851.3K

High Member Growth				
Metric	Year 1	Year 2	Year 3	Year 4
Number of Members	1,400	2,800	4,600	7,000
Incremental Margin	1,682.5K	3,364.9K	6,087.0K	9,759.9K
Network Access Fee	16.8K	33.6K	55.2K	84.0K
Implementation Fee (One-Time)	-150.0K	0.0K	0.0K	0.0K
Sales and Marketing Costs	-180.0K	-180.0K	-180.0K	-180.0K
Net Margin Change	1,369.3K	3,218.5K	5,962.2K	9,663.9K

Low Member Growth				
Metric	Year 1	Year 2	Year 3	Year 4
Number of Members	600	1,200	2,000	3,000
Incremental Margin	721.1K	1,442.1K	2,646.5K	4,182.8K
Network Access Fee	7.2K	14.4K	24.0K	36.0K
Implementation Fee (One-Time)	-150.0K	0.0K	0.0K	0.0K
Sales and Marketing Costs	-180.0K	-180.0K	-180.0K	-180.0K
Net Margin Change	398.3K	1,276.5K	2,490.5K	4,038.8K

DIRECT-TO-EMPLOYER STRATEGY:

ONLY AVAILABLE TO *PREMIER* HEALTH SYSTEMS



Main Line Health®

STRONG Brand Quality

EXTENSIVE Patient Access

AFFORDABLE Value Pricing

EXCELLENT Care Quality

MAIN LINE HEALTH IS PATIENT RECOMMENDED

Health System	HCAHPS Recommendation Percentile	CMS Stars Percentile	Mortality Percentile	Readmission Percentile	KBA Brand Quality Score
Other Independent Hospitals	97		54	91	76
Penn Medicine	84	96	81	61	73
Main Line Health	78	87	80	59	71
Cooper University Health	48	31	69	54	62
Redeemer Health	41	31	76	58	59
Jefferson Health	29	39	77	46	54
Department of Veterans Affairs	31	97	75	72	54
Virtua Health	21	31	66	47	52
Tower Health	16	44	63	52	51
Temple University Health System	18	58	66	59	51
Trinity Health	16	41	69	58	50
Prime Healthcare Services	12	63	73	75	47

Based on quality measures and HCAHPS feedback, KBA estimates that Main Line Health has one of the the strongest brand qualities in New Castle, Burlington, Camden, Gloucester, Chester, Delaware, Montgomery, and Philadelphia Counties.

PROJECTED PLAN GROWTH

Year	Employees	Members	Percent of Members Choosing Main Line Health for Inpatient Care	Percent of Members Choosing Main Line Health for Outpatient Care
1	600	1,100	60%	50%
2	1,100	2,000	60%	50%
3	1,800	3,200	65%	55%
4	2,800	5,000	67%	58%
5	3,900	7,000	68%	60%
6	5,400	9,700	68%	60%
7	7,100	12,800	69%	61%
8	9,200	16,600	69%	62%
9	11,500	20,700	69%	62%
10	14,000	25,200	70%	63%
11	16,500	29,700	70%	63%
12	19,000	34,200	70%	64%
13	21,400	38,500	71%	64%
14	23,400	42,100	71%	65%
15	25,200	45,400	71%	66%
16	26,600	47,900	72%	66%
17	27,800	50,000	72%	66%
18	28,700	51,700	72%	67%
19	29,300	52,700	72%	67%
20	29,800	53,600	72%	67%

KBA currently estimates that Main Line Health has 9% inpatient market share, and 4% outpatient market compared to hospitals/clinics in the Main Line Health service area (see slide 8).

Based on previous DTE experience, KBA expects a significant bump in patient steerage to Main Line Health.

Additional steerage will occur from additional steerage patient benefits and the patient convenience card.

High estimates start nearly 10% higher than target with low estimates at 10% lower than target

YEAR 4 PROJECTED REVENUE AND PROFIT

Pre-DTE Cohort of 5,000 Employees	Inpatient	Outpatient	Professional	Total
Revenue†	\$ 1,744,215	\$ 1,326,073	\$ 619,264.7	\$ 3,689,553
Net Income‡	\$ 306,981.9	\$ 233,388.8	\$ 108,990.6	\$ 649,361.3

With DTE	Inpatient	Outpatient	Professional	Total
Revenue°	\$ 13,013,812	\$ 20,412,275	\$ 9,532,359	\$ 42,958,446
Net Income*	\$ 2,290,431	\$ 3,592,560	\$ 1,677,695	\$ 7,560,686

† Assuming proportional revenues from market shares of 9% (inpatient) and 4% (outpatient)

‡ Conservatively assuming a commercial margin of 17.6% (80% of the estimated commercial margin)

° Assuming 67% inpatient and 58% market steerage based on KBA narrow network DTE experience (see previous slide)

* Conservatively assuming a commercial margin of 17.6%, with a 10 percentage-point reduction to reflect competitive-edge rates and a 10 percentage-point increase due to lower billing costs and higher patient responsibility collections because of the member convenience card.

Total Increase in Net Income	\$ 6,911,325
Network Access Fee (Revenue) of \$1 PMPM	\$ 60,000
Total Profit Growth	\$ 6,971,325
Minus Implementation Fee (One-Time)	-\$ 0
Minus Sales and Marketing (Annual – Ongoing)	-\$ 180,000
Total	\$ 6,791,325

A PARTNER YOU CAN TRUST



**OUR OBJECTIVES
ARE ALIGNED**



**WE KNOW THE
MARKET**



**COMPLETELY
TRANSPARENT**



**WE HAVE THE
SOPHISTICATION
AND
INFRASTRUCTURE
TO EFFECTIVELY
COMPETE**



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